

Exclusive Supply Arrangements Between Joint Venture Partners: Getting the Structure Right Under the FCCPA

Wholesome Legal House Insights | *Reviewed and updated July 2026*

It is common for a Nigerian distributor and an offshore manufacturer to set up a joint venture through which the JV imports goods and the Nigerian partner distributes them locally. It is equally common for the parties to want that arrangement to be exclusive — the JV supplies only the local partner, and the local partner sells only the JV's goods. That instinct is commercially sensible, but under Nigeria's competition law it needs to be structured carefully.

The FCCPC is charged, under Section 17(b) and (g) of the FCCPA, with reviewing economic activity to identify anti-competitive and restrictive practices and with eliminating anti-competitive agreements and unfair trading practices between undertakings — the lens through which any exclusivity arrangement of this kind will be assessed.

Why a Simple Exclusivity Clause Is Risky

Section 59(1) of the FCCPA renders void, subject to Section 61, any agreement between undertakings whose purpose or effect is to prevent, restrict or distort competition. Section 61 itself specifically prohibits an undertaking or association of undertakings from requesting another undertaking or association to refuse to sell or purchase goods or services with the intention of harming a competitor. Section 108(1)(c)–(d) separately prohibits undertakings from conspiring or arranging to unduly reduce competition in the sale or supply of goods, or otherwise unduly restrain or injure competition. A straightforward agreement that the JV will supply its goods only to one Nigerian distributor, and to no one else in the market, sits squarely within the kind of arrangement these provisions are aimed at.

There is a further, more specific problem. Section 66 of the Act treats an undertaking as unlawfully "withholding" goods where it supplies goods of a given description to some dealers but refuses, without legal justification, to supply the same goods to other dealers operating in similar circumstances. If the JV supplies the exclusive distributor but turns away orders from other prospective dealers for no legally sound reason, those dealers can complain to the FCCPC, which is empowered under Section 18(3) to order the termination of any agreement or arrangement relating to the withholding of supplies.

The stakes are not purely commercial. Under Section 69(1) and (2), an undertaking that enters into an unlawful agreement of this kind commits an offence: individuals face imprisonment of up to five years, a fine of up to ₦5,000,000, or both; corporate offenders face a fine of up to 10% of turnover in the preceding business year; and where the offender is a company, each of its directors can be personally proceeded against and dealt with in the same way.

Structuring Option One: The Commissionaire / Agency Model

A more defensible structure has the JV import the goods and supply them to the Nigerian partner, who then acts as the JV's agent (commissionaire) — selling to dealers in its own name, issuing its own invoices, and earning a commission on each sale, rather than buying and reselling the goods as principal. Because the local partner is acting as agent rather than as an independent reseller, the JV can direct the price at which the agent sells to dealers without falling foul of the prohibition on price fixing under Section 107 of the Act, which applies to agreements between independent undertakings, not to an agent implementing its principal's pricing instructions.

To make this structure work in practice, the documentation needs to reflect genuine agency, not disguised distribution. A typical package includes: a power of attorney from the brand owner in favour of the JV,

granting it rights over the relevant trademarks and other intellectual property, including the power to register those marks in Nigeria and to enforce them; a licensing agreement between the JV and the brand owner granting the JV exclusive rights to import and distribute the goods in Nigeria; a power of attorney appointing the local partner as the JV's sole agent for sale and distribution within Nigeria; and a distribution or agency agreement formally appointing the local partner as sole agent, on terms that make clear it is selling on the JV's behalf rather than on its own account.

Structuring Option Two: The Affiliate Exception

There is a second, narrower route to defensible exclusivity. Section 73(2) of the Act carves out exclusive dealing arrangements between undertakings that are "affiliated or interconnected" from the general prohibition on abuse of dominance under Section 72(2)(d)(i). Section 167(1) defines exclusive dealing broadly to include arrangements where, as a condition of supply, a customer is required to deal only in the supplying undertaking's goods, or where, as a condition of purchase, a supplier is required to refrain from supplying the same goods to other undertakings — precisely the kind of clause a JV and its Nigerian distributor would want.

The catch is that "affiliated" has a specific, structural meaning under Section 167(4) of the FCCPA: two undertakings are affiliated where one is a subsidiary of the other (as subsidiary is understood under the Companies and Allied Matters Act 2020), where both are subsidiaries of the same parent, or where both are affiliated with undertakings that are themselves affiliated on either of those bases. A purely commercial or contractual relationship — however close — does not qualify. For a Nigerian distributor and its JV partner to rely on this exception, the JV would need to be structured as a genuine subsidiary of the distributor (or vice versa), with the distributor holding a majority shareholding and real parental control, not simply a long-term supply contract. As a secondary benefit, affiliated undertakings structured this way are also immune from liability for bid-rigging under Section 109(2).

Which Route Makes Sense

Both options are legitimate paths to a defensible exclusive arrangement, but they suit different situations. The agency/commissionaire structure is generally the more flexible and commercially neutral option, and does not require either party to give up equity or control. The affiliate route offers a cleaner, more absolute form of protection, but only where the parties are genuinely prepared to structure the JV as a parent-subsidiary relationship rather than a purely contractual partnership — which carries its own consequences for governance, consolidation, and control that go well beyond competition law.

A note on currency of the law

Sections 17, 18, 59, 61, 66, 69, 72–73, 107–109 and 167 of the FCCPA 2018 remain the governing provisions for this analysis, and none of the substantive rules discussed here have changed since this firm's original advice on the point.

One additional check worth running for any new joint venture of this kind: depending on the value of the transaction and the parties involved, the JV's formation may itself qualify as a notifiable merger under the Merger Review Regulations 2020, which is assessed separately from the restrictive-agreement and dominance issues discussed in this article and should be checked against the current notification thresholds before the JV is finalised.